1. Niche of Neffke, Otto & Weyh (2017)

Problem. Using German social-security records (1999–2008), the paper asks how industry-specific human capital is and which industries have similar human-capital requirements (skill relatedness), by studying the structure of inter-industry labor flows.

What earlier measures miss. Co-export, co-occurrence and input-output relatedness infer similarity indirectly from products, locations or transactions rather than from the worker moves that carry human capital, and labor-flow measures already in use had assumed, but never tested, that flows are structured, stable and general.

What earlier assumptions miss. Labor economists found that workers often switch even between broad sectors and concluded that human capital is not industry-specific, which implicitly assumes that all industries are equidistant in skill requirements and ignores which industries actually exchange workers.

Question. Are flows concentrated in few industry pairs, and is the resulting network stable and general across occupations, wages and distance, and does it predict regional industry entry and growth better than co-location and input-output relatedness?

Contribution. Industries holding 5% of employment absorb 62% of job switchers, and this skill-relatedness network is stable, general and a better predictor of regional entry and growth than the alternatives, while not typically impeding labor reallocation.

2. Two journal articles

Corradini, Morris & Vanino (2025), *Cambridge Journal of Economics* 49(3). New outcome and data: building on Neffke et al.'s finding that workers move to local skill-related sectors, it asks whether thick local labour markets (industrial density) improve skills matching, measuring skills gaps and skill-shortage vacancies from the Employers Skills Survey for 15 sectors × NUTS2 regions in England and Wales (2009–2019). It adds a Bartik-type IV and finds a 1% density increase cuts shortage vacancies by 2.9% and internal skills gaps by 2.6%.

Huang, Balezentis, Shen & Streimikiene (2023), *Journal of Innovation & Knowledge* 8, 100452. New context and outcome: it takes Neffke et al.'s point that labour does not reallocate frictionlessly, so some firms hold excess and others lack human capital, and turns it into a firm-level human-capital mismatch measure. It then tests the effect on innovation performance in 2,510 high-tech firms in Zhejiang, China (2020 survey), instead of regional industry entry and growth in Germany.

3. My niche (builds on : Jara-Figueroa et al. 2018, pioneer firms in Brazil)

Gap. Previous work has shown that pioneer firms survive and grow more when their workers bring industry-specific knowledge from related industries (Jara-Figueroa et al. 2018), and that thick local labour markets reduce skills gaps and shortages (Corradini et al. 2025), but we do not know whether the advantage of related-industry hires holds in thin local labour markets where suitable workers are scarce. This matters because the regions with the thinnest labour pools are those that most need new industries, so relatedness-based diversification policy may fail exactly where it is needed.

Research question. Does the survival and growth advantage of pioneer firms that hire workers from skill-related industries become smaller in micro-regions with a thin local pool of related-industry workers?

4. Data and audience

Data. Brazilian matched employer-employee records (RAIS), as in HW1: identify pioneer firms, trace each hire's previous industry to build a labor-flow relatedness index, and measure local pool thickness as related-industry employment per micro-region. The test is an interaction of related-hire share × pool thickness on firm survival and employment growth.

Audience. State and municipal development agencies in Brazil, and policymakers who design talent-attraction and retraining programmes for diversification; it would tell them whether to support new industries by attracting workers, or by building the local pool first.